

Liquidity Magnet Rulebook

The Professional Liquidity Trap Model

1. Foundational Principle

Price moves to where liquidity rests.

Liquidity rests above equal highs & below equal lows.

2. Where Liquidity Sits

Liquidity Type	Where	Why
Equal Highs	Above resistance clusters	Resting buy stops (breakout traders, retail stops)
Equal Lows	Below support clusters	Resting sell stops (breakdown traders, retail stops)
Prior Day High/Low	Above/below previous session extremes	Dayframe liquidity sweep
Session Highs/Lows	Asia High, London High, NY High etc.	Intraday liquidity zones
VWAP Bands	Above or below VWAP overshoots	Institutional balancing levels

3. How Liquidity Gets Grabbed

- Quick spike beyond prior highs/lows.
 - Fast wicks or candle bodies reaching just beyond levels.
 - Volume surge on sweep candle.
 - Immediate absorption or reversal signs afterward.
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4. Mental Rule

Observation	Expectation
Multiple touches	Trap forming
Equal highs	Expect stop run above
Equal lows	Expect flush below

5. Entry Model After Sweep

- Wait for sweep to occur.
- Look for rejection wick or failed breakout/breakdown.
- 9 EMA + VWAP reclaim signals confirmation.
- Enter trade in direction opposite the sweep (reversal trap).

6. Targeting Post-Entry

| Target 1 | VWAP retest | | Target 2 | Opposing liquidity cluster | | Target 3 | Full unwind into prior internal liquidity levels |

7. Hard Risk Rule

- Stop goes behind sweep extension.
- Exit fully if sweep zone invalidation occurs (break and hold).

Summary Anchor

Equal highs/lows = resting liquidity → sweeps = fuel → traps = entries.